

ABAT pitch deck

No existing deck artifacts on disk for this name, so here is the deck.

PITCH — ABAT — VERDICT

ADJUDICATED 2026-08-08 — DECLINE. No position, no order, no starter. Stay flat into the 2026-09-17 annual report; the case gets re-heard there and only there.

What we believe

American Battery Technology recycles lithium-ion batteries and is trying to build a primary lithium mine in Nevada (Tonopah Flats). In the quarter it reported this spring it hit two milestones it had never hit before: record revenue and a positive gross margin. That is a genuinely new fact for this company, and it is why the name got courted at all.

We believe the milestone is real but is being sold as something it is not. The revenue that produced it is concentrated in a finite clean-up job — the Moss Landing battery-storage fire in California, where the EPA appointed the company to recycle up to 100,000 damaged battery modules. The Veolia contract amendment behind it (effective 2025-10-09) commits to a minimum of 35,156 modules / 3,126 tonnes of LG NMC material, worth roughly \$30 million, and is described in trade press as the key revenue driver for fiscal 2026. That is about four quarters of the company's current revenue run-rate sitting inside one disaster contract.

Meanwhile the only funding channel that demonstrably works is selling stock. Share count went from roughly 46 million (September 2023) to roughly 136 million (May 2026 cover page) — nearly a tripling in under three years, and about 4.1 million shares in the five weeks between the March quarter-end and the May cover. The much-cited \$900 million from the U.S. Export-Import Bank is a Letter of Interest from 2025-04-29 that says, in its own words, “This Letter of Interest does not constitute a commitment of financing” — and there has been no publicly disclosed diligence update in the fifteen months since.

And in July, after the stock had already round-tripped a rally, the board re-armed executive pay at the new low price. Per the company's own 8-K, the CEO's two-year agreement carries a \$475,000 salary, a 75%-of-salary cash bonus target, \$1,000,000 of restricted stock and an option on 3,000,000 shares struck at \$2.76.

Bottom line: a company whose stock is its currency, whose newest good news has a visible end date, and whose management just repriced its own upside at the bottom. We do not buy that ahead of the disclosure that would settle it.

What the market believes

Two things at once, and both are loud.

The bullish read: this is a lithium-recycling business that just crossed into positive gross margin, has federal support (a Department of Energy grant reinstated on 2026-06-08, which popped the stock about 35% to roughly \$3.56), a lithium mine option on top, and — per the two analysts who cover it — a \$6.50 price target against a \$2.35 tape. On that view the stock is down about 80% from its 52-week high of \$11.49 and is an option on an energy-transition build-out.

The bearish read is equally visible in the tape: 16.3% of the float is sold short (about 21.4 million shares, roughly 3.6 days to cover). That is a large, committed group betting the company keeps issuing stock faster than it builds a business.

What the market is *not* doing is pricing this efficiently in either direction. Two sell-side analysts is not a crowd. This is a retail-and-short-seller name where the price swings 9% in a day on no filing.

Why we might have edge

1. **We read the pay agreement, not the press release.** The 8-K that re-set executive compensation was filed 2026-07-10 and got essentially no coverage. It is the cleanest available read on what management thinks its own stock is worth and how much of the company it intends to take: options struck at \$2.76 for the CEO alone amount to roughly 2.2% of shares outstanding, before the CFO's and COO's packages.
2. **We tied the revenue to its actual source.** The company's quarterly press release attributes record revenue to battery storage "supporting datacenters and AI," electric vehicles and consumer electronics. It does not mention the fire clean-up contract that trade press names as the fiscal-2026 revenue driver. The stated takeaway and the underlying mechanism point in different directions. That gap is the finding.
3. **We can wait.** We have no position, no cost basis to defend, and no mandate to own an energy-transition name. Almost every buyer here has to decide now; we do not.
4. **The decisive number is scheduled.** The annual report should disclose the full-year revenue mix and the cover-page share count. Both of the questions that would make this a buy are answered on one date.

Why it might be priced in

Honest counterweights, and some of them are strong:

- **An 80% drawdown prices in a lot of dilution.** At about \$2.35 and roughly 136 million shares, the whole company is worth around \$320 million. If the recycling business is durable at all, that is not obviously expensive.
- **The cliff may be further out than the bear case implies.** The \$30 million Veolia contract is roughly four quarters of revenue, and the EPA scope extends up to 100,000 modules. The September quarter probably still prints well. The revenue problem, if it is one, is a fiscal-2027 problem — which means waiting could mean paying a higher price for the same information.

- **The Department of Energy cost-share is not a bill due on 09-17.** Government cost-share on a multi-year build is reimbursed over the build. Our own red bench initially called this fatal; our blue bench correctly downgraded it.
- **16% short interest cuts both ways.** Any good disclosure in the annual report lands on a heavily shorted, thinly covered stock. We are explicitly accepting the risk of missing a violent upside move.
- **Two analysts and a \$6.50 target** means there is no consensus to be right against. Our “edge” here is mostly patience and document-reading, not a differentiated model.

What we checked ourselves

Claim	How checked	Found	Confirmed?
The \$900M EXIM financing supports the build	Fetches the original 2025-04-29 press release	Verbatim: “This Letter of Interest does not constitute a commitment of financing.” No diligence update in 15 months. No executed debt facility exists.	Confirmed — it is not underwritable funding
Sizing of that finding	Blue bench review	Our red bench called it fatal. Blue reduced it to a sizing issue: the cost-share is reimbursed over a multi-year build, not owed by 09-17. Red overstated the severity; blue is right.	Confirmed with correction
The company is selling stock into rallies	10-Q cover pages, March vs May	Share count 132.27M → 136.41M in about five weeks	Confirmed, with a correction we made ourselves: that delta includes restricted-stock vesting, so it is not purely at-the-market issuance. Red implied it was all ATM. Direction unchanged, magnitude softer
Long-run dilution	XBRL diluted share counts + 10-Q covers	~46.1M (Sep-2023) → ~136.4M (May-2026), about +196% in 32 months. Note the machine-built evidence pack’s share series stops at 85.1M (Mar-2025) and is stale — we used filing cover pages instead	Confirmed
The quarterly press release names the fire-remediation contract	Blue bench fetched the actual press release	It does not. Our red bench cited the release as “remediation-centric.” That is wrong — the release markets AI-datacenter, EV and consumer-electronics demand and never mentions Moss Landing. This is our own bench misquoting a primary source in support of a correct conclusion.	Red’s citation refuted; red’s underlying point confirmed by other evidence
The revenue is concentrated in the fire contract	Veolia Amendment 2 (eff. 2025-10-09) via trade press	Minimum 35,156 modules / 3,126t LG NMC, ~\$30M, described as “key revenue driver for FY2026”	Confirmed — but via trade press, not a

Claim	How checked	Found	Confirmed?
			filing. See unverified section
Executive pay was re-set at the lows	Read the 8-K filed 2026-07-10	CEO: \$475,000 salary, 75% cash bonus target, \$1,000,000 RSUs, option on 3,000,000 shares at \$2.76 (the July 1 close), two-year term, quarterly vesting. CFO: \$280,000 salary. Our blue bench described the COO package (1,500,000 options at \$2.76) and called the CEO/CFO agreements “parallel.” They are not parallel — the CEO option is double the COO’s. The primary document understates nothing; our bench did	Confirmed, and our own summary of it was too small
The original bull case that pay would stop diluting	Same 8-K + Form 4s	Dead. Fresh grants dated 2026-06-30, 07-01 and 07-20 at \$2.50–\$2.88. The pay machine runs at the lows and mints more shares per dollar of pay when the stock is down	Refuted (this was our own earlier hope)
Insider conviction	Form 4	COO sold 115,480 shares on the open market at \$3.56 on 2026-06-15, into the DOE pop — about 25% of his direct holding, 342,695 remaining, with no 10b5-1 plan referenced. He then accepted a 1.5-million-share option package in July	Confirmed
Non-cash flattery in the margin	Company non-GAAP bridge	GAAP gross profit was only about +\$0.7M, and about \$1.3M of cost of goods was a non-cash add-back in the company’s own adjusted presentation. The “first-ever positive gross margin” is thin and partly presentational	Confirmed
Pay cost vs. cash burn	XBRL	Stock compensation \$3.17M in the quarter ended 2024-09-30 against operating cash flow of –\$5.55M. Pay-in-stock is roughly the size of the cash burn	Confirmed
“It’s already priced in”	Tape + coverage	The DOE pop faded from ~\$3.56 back to ~\$2.39. But two analysts cover the stock. Our red bench used “already priced” as kill support; blue correctly downgraded it — a two-analyst stock cannot be called efficiently priced. It is a timing argument, not a valuation argument	Confirmed with correction
Live quote	IBKR	Permission denied — third name in a row. We priced off public sources instead. Our benches worked from a \$2.61 close (08-07); the refreshed pack shows \$2.35 (08-18), about 10% lower than where we declined	Coverage gap, disclosed

Claim	How checked	Found	Confirmed?
Drawdown anchors	Pack vs bench	Red anchored to -77.3% off high and +40.3% off low; the 08-18 pack reads -79.5% and +17.5%. The difference is the eleven-day gap and the low being re-set, not a data error — but the “chasing a +25% week” framing no longer describes today’s tape	Reconciled

PROPOSED ENTRY BANDS

There is no entry. Size zero. No resting orders, no starter, no tranche. The reasons are not price-shaped — they are disclosure-shaped — so no price is low enough to trigger a buy before the annual report. Below \$2.35 we would be buying a company that funds itself by selling stock, into an open-ended stock-selling program, ahead of the document that reveals whether its new revenue continues.

Reopen gate, stated exactly as the court set it:

- 10-K (~09-17): red’s tripwires (a)-(d) + disclosed Moss Landing revenue share -> re-hear

Those tripwires, spelled out:

- **(a)** Fourth-quarter revenue of at least **\$7 million** with a positive gross margin **and** a disclosed mix that separates Moss Landing from everything else.
- **(b)** An **executed** EXIM or other debt facility, or a Department of Energy disbursement schedule showing the cost-share is multi-year or in-kind — not another letter of interest.
- **(c)** A **flat share count on the 10-K cover page** versus the May count of 136.41 million — evidence the at-the-market program was paused.
- **(d)** Any **open-market insider purchase**.
- **(e)** The **disclosed Moss Landing share of revenue** — the number that makes the entire durability question answerable.

If those clear, the name is re-heard from scratch. It does not auto-buy.

Price context — reference levels, not triggers:

- \$2.35 — where it trades now; \$2.00 — the 52-week low; \$11.49 — the 52-week high.
- \$2.76 — the strike management set for itself on July 1. The stock is below it. Watch for a second repricing.
- \$3.56 — where the COO sold and where the DOE pop topped out. If the stock returns there before the annual report, we do nothing; that is the level a better-informed seller chose.
- \$6.50 — the two-analyst target. We give it no weight.

Catalyst date: 2026-09-17, fiscal-2026 fourth quarter and annual report. This date is derived from a market-data feed and has **not** been confirmed by a company announcement. Treat it as approximate until an 8-K or press release names it.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 2.0 (deck-provisional: New 52-week low; stock sales into a sub-\$2 tape raise going-concern and reverse-split risk — this is a)
- filing watch: 8-K until 2027-02-14 (deck-provisional: Item 1.01/2.03 executed EXIM or other credit facility, or a DOE award modification — tripwire (b), the)
- dated pack ABAT|2026-09-17: ABAT 10-K: HIT = Moss Landing revenue share disclosed + ATM discipline + no comp re-arm. RESOLVE: python3 -m desk.calibration resolve ABAT F

What remains unverified

- **The Department of Energy award's disbursement schedule.** Nobody on either bench read the award terms. The entire “the cost-share isn't due on 09-17” downgrade rests on how such programs normally work, not on the document. If the schedule is front-loaded, the funding hole is nearer than we assumed.
- **The Moss Landing revenue share.** No public source decomposes the quarter's revenue by tonnage, price or contract. The concentration is inferred from contract size versus reported revenue, sourced to trade press and the Veolia amendment — not to a filing. This is the single number the whole case turns on and we do not have it.
- **The 09-17 date itself.** Feed-derived, not company-confirmed.
- **Whether the Q4 press release will separate the contract.** Given that the Q3 release did not mention it at all, our base case is that the 10-K's segment and concentration disclosures — not the press release — will be where this shows up, if anywhere.
- **The COO and CFO agreement terms in full.** We have the CEO package verbatim from the 8-K and the COO's option count second-hand. The complete CFO equity grant was not read.
- **Post-May share count.** Our latest hard number is the May 8 cover page. Three months of possible issuance is unobserved.
- **The short side's thesis.** 21.4 million shares are short and we have not read a single short report. We may be duplicating work someone has done better, or missing a reason they are wrong.

Primary sources relied on: the compensation 8-K,

<https://www.sec.gov/Archives/edgar/data/0001576873/000149315226032862/form8-k.htm>, and the EXIM letter-of-interest release, <https://www.globenewswire.com/news-release/2025/04/29/3070357/0/en/American-Battery-Technology-Company-Receives-Letter-of-Interest-from-US-EXIM-Bank-for-900-Million-Financing-for-Tonopah-Flats-Lithium-Project.html>.

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